Date 30/05/2025

External env factors that affects bs and its accounting process

1. Economic and political envi
2. Legal and regulatory env
3. Technical and professional env
4. Cultural and social env
5. Technological env

| | Ext Env Fac | Intro (Des) | Variables (Ex) |
|---|---|---|---|
| 1. | Economic and Poli -tical | The decisions taken to prepare and implement economic policies of govt. | Inflation (price level changes) Exchange rate, Capital market (share market) Interest rate, govt policies Unemployment rate Tax, import export |
| 2. | Legal and regula -tory | Laws, Acts and regulatio -ns relating to bs and its accounting process. | Company act NO.07 of 2007 Partnership ordinance of 1890 Inland Revenue act Accounting and auditing act Bs registration regulation Court judgements. |
| 3. | Technical and Professional | Use of various techniques to measure assets, liabilities, equity, income and exp (to prepare fs) | Accounting Standards Accounting techniques Professional accounting bodies |
| 4. | Cultural/Social | The beliefs, customs, habits, behaviours, aspirations, life style of people in Society | Beliefs, customs, habits norm, culture, immigrants Population, attitude |
| 5. | Technological | Use of various equipments, machines, computers & other communication tech -nology in bs. | Computer technology Advance machins Communication technology Social media (FB, insta, tiktok, youtube) Computer Systems |

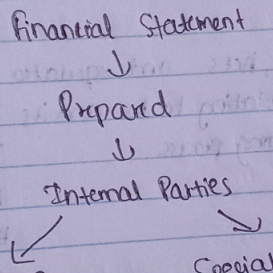
- Changes in diff variables will affect accounting in diff ways. Such as changes in int rate will impact the int cost. Changes in consumer behaviour will impact the sales. ∴ its very imp to being aware of ext env factor

Professional Accounting bodies in SL

- ICA SL
- AAT SL
- CMA SL
- ACCA UK
- CIMA UK
- SL Accounting Standards Committee

Types of financial Statements based on the purpose

1. General purpose fs
2. Specific / Special purpose fs




| GP FS — Common demand purpose | SP FS |
|---|---|
| • Prepared to satisfy the needs of external users. | • Prepared to satisfy needs of internal users. |
| • Included in companies annual report | • Not included in annual report. |
| • Prepared according to standards rules and regulations | • No need to follow standards rules regulations |
| • Prepared in summarized manner | • Prepared in a summarized or detailed manner |
| • Generally prepared annually | • Can be prepared based on mngt req |

Similarities between GP FS and SP FS

- Prepared by internal managers/ mngt
- Use of past / historical info
- Total values are same

# Unit 01 Accounting and its purpose

## ① Definition

- Process
- Providing
- Bs info
- Users of accounts
- Make decision

## ② Objective

- Main: Providing bs info
- Other:
  - Profit or loss
  - Assets, lia, Eq
  - Cash inflow, outflow
  - Control
  - Planning
  - Legal req

## ③ Users of Accounts

- Internal:
  - BOD / Top mngt
  - Managers
  - Employees
- External:
  - Shareholders/owners
  - Customers
  - Suppliers
  - Competitors
  - Govt
  - Future investors

## ④ FA vs MA

| | FA | MA |
|---|---|---|
| | Mainly ext | Only inte |
| | Past | Past & Future |
| | Financial | Financial & non-fin |
| | Set format (Standards) | No format / No stand |
| | Once a year | When needed by mngt |
| | legal req | Not a legal req |

## ⑤ Accounting Process

- FA Process
  - Input (Past)
  - ↓
  - Process (Collect, record, Classify, Summarize, Interpretation, Providing)
  - ↓
  - Output (SOPL, SOFP, SOCF, SOCIE, Notes)
- MA Process
  - Input (Past + Future)
  - ↓
  - Process (Budgeting, Planning, Controlling, Costing, Leading)
  - ↓
  - Output (Any mngt report)

## FA in OL

T & E → Source Doc → Prime Entry Book → Ledger A/c → Balance Ledger → TB → FS

EDUCATION IS THE BEST INVESTMENT